

If you are a Female taxpayer



An annual income of Rs 6 lakh calls for aggressive tax-saving investments. But if you are a woman earning Rs 50,000 a month, you will pay Rs 14,400 less in tax in 2008-9 without any tax planning. With investments, your income tax liability can come down dramatically. Here's how:

Annual tax on Rs 6 lakh income is:

- ✓ Rs 84,460 without tax planning
- ✓ Rs 53,560 with full 80C benefits
- ✓ Rs 47,380 by adding health insurance benefits
 - ✓ Rs 16,480 by adding home loan benefits as well
 - ✓ Tax liability is cut by 80% by maximising tax saving investments

The two tables show how much you can save, at different income levels

Know your tax liability & savings Depending on investments

ANNUAL INCOME IN RS	TAX LIABILITY			SAVINGS	
	EXISTING Full 80C benefits	NEW		IN RS	% OF ANNUAL INCOME
		No 80C benefits	Full 80C benefits		
A	B	C	D	E = (B-D)	F = (E/A)
2,80,000	6,695	10,300	0	6,695	2.4
3,60,000	24,205	24,720	8,240	15,965	4.4
4,80,000	61,285	49,440	28,840	32,445	6.8
6,00,000	98,365	84,460	53,560	44,805	7.5
7,20,000	1,35,445	1,21,540	90,640	44,805	6.2
8,40,000	1,72,525	1,58,620	1,27,720	44,805	5.3
12,00,000	3,12,142	2,96,850	2,62,860	49,282	4.1

Difference between column B and D shows how much better off you are compared to last year. Difference between C and D shows how much you can save in taxes by investing under Sec 80C.

Here's how you save on tax

GROSS INCOME	RS 6 LAKH A YEAR		WHAT'S CHANGED
	EXISTING(2007-8)	PROPOSED (2008-9)	
Tax-free exemption	-1,45,000	-1,80,000	35,000 more
Savings u/s 80C	-1,00,000	-1,00,000	No change
Taxable income	3,55,000	3,20,000	35,000 lower
Medical insurance	-15,000	-30,000	15,000 more
Net taxable income	3,40,000	2,90,000	50,000 lower
Tax payable	-91,000	46,000	45,000 saved
Education cess	2,730	1,380	1,350 saved
Total tax outgo	93,730	47,380	46,350 saved
Effective tax rate*	15.6%	7.9%	7.7% lower

* % of gross income

For women with a monthly income of Rs 25,000, the effective tax will come down from 12% of their income to just about 4%. Those earning Rs 11 lakh a year will save almost Rs 50,000 in tax, which is 4.5% of their annual income.